

SCENARIO 1

- \$990,641 in superannuation fund, earning 7%, less 15% earnings tax per annum
- \$520k (defensive portion of risk profile) is invested in mortgage offset account, this saves interest payable of \$27,620 per annum

	Year					
	1	2	3	4	5	END
SMSF						
Capital	\$990,641	\$1,049,584.14	\$1,112,034.40	\$1,178,200.44	\$1,248,303.37	\$1,322,577.42
Earnings @ 7% p.a.	\$69,344.87	\$73,470.89	\$77,842.41	\$82,474.03	\$87,381.24	
Less 15% earnings tax	\$10,401.73	\$11,020.63	\$11,676.36	\$12,371.10	\$13,107.19	
Net Annual Earnings	\$58,943.14	\$62,450.26	\$66,166.05	\$70,102.93	\$74,274.05	
MORTGAGE OFFSET						
Capital in offset account	\$520,000.00	\$520,000.00	\$520,000.00	\$520,000.00	\$520,000.00	\$520,000.00
Interest savings per annum	\$27,620.00	\$27,620.00	\$27,620.00	\$27,620.00	\$27,620.00	
FAMILY TRUST						
Capital						
Earnings @ 7% p.a.						
Catherine's Trust Income						
Less Tax Payable						
Net Income						
						TOTAL
NET INCOME	\$58,943.14	\$62,450.26	\$66,166.05	\$70,102.93	\$74,274.05	\$331,936.42
PLUS INTEREST SAVINGS	\$27,620.00	\$27,620.00	\$27,620.00	\$27,620.00	\$27,620.00	\$138,100.00
EQUALS TOTAL NET BENEFIT	\$86,563.14	\$90,070.26	\$93,786.05	\$97,722.93	\$101,894.05	\$470,036.42
PERIOD RETURN ON CAPITAL	5.73	5.74	5.75	5.75	5.76	
TAX PAID	\$10,401.73	\$11,020.63	\$11,676.36	\$12,371.10	\$13,107.19	\$58,577.02
CAPITAL POSITION AT START OF YEAR	\$1,510,641.00	\$1,569,584.14	\$1,632,034.40	\$1,698,200.44	\$1,768,303.37	\$1,842,577.42
						31.12%

SCENARIO 2

- \$990,641 invested in a Family Trust, earning 7% per annum, split to three beneficiaries who it is assumed have no other income
- The income forms part of the beneficiaries tax return on paper but is re-invested within the Trust
- \$520k (defensive portion of risk profile) is invested in a mortgage offset account, this saves interest payable of \$27,620 per annum

	Year					
	1	2	3	4	5	END
MORTGAGE OFFSET						
Capital in offset account	\$520,000.00	\$520,000.00	\$520,000.00	\$520,000.00	\$520,000.00	\$520,000.00
Interest savings per annum	\$27,620.00	\$27,620.00	\$27,620.00	\$27,620.00	\$27,620.00	
FAMILY TRUST						
Capital	\$990,641.00	\$1,057,747.18	\$1,128,188.74	\$1,202,286.16	\$1,280,481.35	\$1,363,001.15
Earnings @ 7% p.a.	\$69,344.87	\$74,042.30	\$78,973.21	\$84,160.03	\$89,633.69	
Beneficiary 1 Income	\$23,114.73	\$24,680.52	\$26,324.14	\$28,053.06	\$29,877.60	
Less Tax Payable	\$746.00	\$1,200.00	\$1,625.00	\$1,988.00	\$2,371.00	
Net Income	\$22,368.73	\$23,480.52	\$24,699.14	\$26,065.06	\$27,506.60	
Beneficiary 2 income	\$23,114.73	\$24,680.52	\$26,324.14	\$28,053.06	\$29,877.60	
Less Tax Payable	\$746.00	\$1,200.00	\$1,625.00	\$1,988.00	\$2,371.00	
Net Income	\$22,368.73	\$23,480.52	\$24,699.14	\$26,065.06	\$27,506.60	
Beneficiary 3 income	\$23,114.73	\$24,680.52	\$26,324.14	\$28,053.06	\$29,877.60	
Less Tax Payable	\$746.00	\$1,200.00	\$1,625.00	\$1,988.00	\$2,371.00	
Net Income	\$22,368.73	\$23,480.52	\$24,699.14	\$26,065.06	\$27,506.60	
						TOTAL
NET INCOME	\$67,106.18	\$70,441.56	\$74,097.42	\$78,195.19	\$82,519.80	\$372,360.15
PLUS INTEREST SAVINGS	\$27,620.00	\$27,620.00	\$27,620.00	\$27,620.00	\$27,620.00	\$138,100.00
EQUALS TOTAL NET BENEFIT	\$94,726.18	\$98,061.56	\$101,717.42	\$105,815.19	\$110,139.80	\$510,460.15
PERIOD RETURN ON CAPITAL	6.27%	6.22%	6.17%	6.14%	6.12%	
TAX PAID	\$2,238.00	\$3,600.00	\$4,875.00	\$5,964.00	\$7,113.00	\$23,790.00
CAPITAL POSITION	\$1,510,641.00	\$1,577,747.18	\$1,648,188.74	\$1,722,286.16	\$1,800,481.35	\$1,883,001.15
						33.79%

SCENARIO 3

- \$990,641 capital held in joint names, earning 7% per annum
- 50% of earnings distributed to Peter and Catherine as part of their tax return but re-invested back into the investment
- \$520k (defensive portion of risk profile) is invested in mortgage offset account, this saves interest payable of \$27,620 per annum

	Year					
	1	2	3	4	5	END
Investment Capital (Joint names)	\$990,641	\$1,043,086	\$1,098,100	\$1,155,596	\$1,215,607	\$1,278,244
Earnings @ 7%	\$69,345	\$73,016	\$76,867	\$80,892	\$85,093	
Earnings distribution - Peter (50%)	\$34,672.44	\$36,508.00	\$38,433.52	\$40,445.88	\$42,546.26	
Less Tax Payable	\$13,522.25	\$14,238.12	\$14,989.07	\$15,773.89	\$16,593.04	
Net Income	\$21,150.19	\$22,269.88	\$23,444.45	\$24,671.98	\$25,953.22	
Earnings distribution - Catherine (50%)	\$34,672.44	\$36,508.00	\$38,433.52	\$40,445.88	\$42,546.26	
Less Tax Payable	\$3,378.00	\$3,763.00	\$4,382.00	\$5,107.00	\$5,863.00	
Net Income	\$31,294.44	\$32,745.00	\$34,051.52	\$35,338.88	\$36,683.26	
MORTGAGE OFFSET						
Capital in offset account	\$520,000.00	\$520,000.00	\$520,000.00	\$520,000.00	\$520,000.00	\$520,000.00
Interest savings per annum	\$27,620.00	\$27,620.00	\$27,620.00	\$27,620.00	\$27,620.00	
						TOTAL
NET INCOME	\$52,444.62	\$55,014.87	\$57,495.96	\$60,010.86	\$62,636.47	\$287,602.79
PLUS INTEREST SAVINGS	\$27,620.00	\$27,620.00	\$27,620.00	\$27,620.00	\$27,620.00	\$138,100.00
EQUALS TOTAL NET BENEFIT	\$80,064.62	\$82,634.87	\$85,115.96	\$87,630.86	\$90,256.47	\$425,702.79
PERIOD RETURN ON CAPITAL	5.30%	5.29%	5.26%	5.23%	5.20%	
TAX PAID	\$16,900.25	\$18,001.12	\$19,371.07	\$20,880.89	\$22,456.04	\$97,609.37
CAPITAL POSITION	\$1,510,641.00	\$1,563,085.62	\$1,618,100.50	\$1,675,596.46	\$1,735,607.32	\$1,798,243.79
						28.18%

SCENARIO 4

- \$990,641 capital held in Catherine's name, earning 7% per annum
- The earnings form part of Catherine's tax return but are re-invested back into the investment
- \$520k (defensive portion of risk profile) is invested in mortgage offset account, this saves interest payable of \$27,620 per annum

	Year					
	1	2	3	4	5	END
Investment Capital (Catherine)	\$990,641.00	\$1,044,515.87	\$1,100,859.98	\$1,159,788.18	\$1,221,364.35	\$1,285,569.86
Earnings @ 7%	\$69,344.87	\$73,116.11	\$77,060.20	\$81,185.17	\$85,495.50	
Earnings distribution - Catherine (100%)	\$69,344.87	\$73,116.11	\$77,060.20	\$81,185.17	\$85,495.50	
Less Tax Payable	\$15,470.00	\$16,772.00	\$18,132.00	\$19,609.00	\$21,290.00	
Net Income	\$53,874.87	\$56,344.11	\$58,928.20	\$61,576.17	\$64,205.50	
MORTGAGE OFFSET						
Capital in offset account	\$520,000.00	\$520,000.00	\$520,000.00	\$520,000.00	\$520,000.00	\$520,000.00
Interest savings per annum	\$27,620.00	\$27,620.00	\$27,620.00	\$27,620.00	\$27,620.00	
						TOTAL
NET INCOME	\$53,874.87	\$56,344.11	\$58,928.20	\$61,576.17	\$64,205.50	\$294,928.86
PLUS INTEREST SAVINGS	\$27,620.00	\$27,620.00	\$27,620.00	\$27,620.00	\$27,620.00	\$138,100.00
EQUALS TOTAL NET BENEFIT	\$81,494.87	\$83,964.11	\$86,548.20	\$89,196.17	\$91,825.50	\$433,028.86
PERIOD RETURN ON CAPITAL	5.39%	5.37%	5.34%	5.31%	5.27%	
TAX PAID	\$15,470.00	\$16,772.00	\$18,132.00	\$19,609.00	\$21,290.00	\$91,273.00
CAPITAL POSITION	\$1,510,641.00	\$1,564,515.87	\$1,620,859.98	\$1,679,788.18	\$1,741,364.35	\$1,805,569.86
						28.67%